

Fr: Homer City Redevelopment LLC

To: White House Office of Science and Technology Policy (OSTP)
c/o Networking and Information Technology Research and Development (NITRD)
National Coordination Office (NCO), National Science Foundation

Re: Request for Information in the Development of an Artificial Intelligence (AI) Action Plan

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To Whom It May Concern,

Homer City Redevelopment LLC (“Homer City”) strongly supports the Office of Science and Technology Policy’s (“OSTP”) focus on policy actions required to sustain and enhance US global leadership in artificial intelligence (“AI”) innovation. Given the urgent need to address skyrocketing electricity demand due to AI and advanced computing, we encourage the Administration to leverage all tools that can increase generation growth and urge the Administration to incorporate our recommendation in the AI Action Plan. Our recommendation is simple – support federal financing tools that will accelerate the needed investments in energy infrastructure, including the Department of Energy’s (“DOE”) Loan Programs Office (“LPO”).

Data centers are critical to powering emerging AI technologies. Data center deployment is a significant factor in the current surge of electricity demand in the US. In particular, new AI applications such as generative models use more energy than the search engine, streaming, and communications applications that drove data center growth over the past two decades.¹ In total, data centers could consume up to 9% of US electricity generation annually by 2030, up from just 4% in 2023.

New hyperscale data center facilities that use 100-1,000 MW – roughly equivalent to the electrical load from 80,000 to 800,000 homes – are stretching the capacity of local grids to generate and deliver power at scale. Connection lead times of one to three years, demands for highly reliable power, and requests for power from new, cleaner generation sources can create local and regional electric supply challenges. Addressing these challenges will ensure we can fully unlock the potential AI holds to promote human flourishing, economic competitiveness, and national security.

Homer City, based in western Pennsylvania, is wholly dedicated to converting a recently decommissioned power plant into a diverse energy campus. Homer City previously operated a 1.9 GW coal-fired power plant on more than 5,000 acres in Indiana County, Pennsylvania. The aging power plant was permanently decommissioned in 2023, and Homer City is now redeveloping it into a 3,600-acre energy production hub. The redevelopment plan includes 4.5 GW of natural gas-fired power generation and supporting transmission infrastructure to meet the long-term energy needs of hyperscale data centers.

¹ EPRI, Powering Intelligence: Analyzing Artificial Intelligence and Data Center Energy Consumption, 2024.

Federal support for projects that accelerate the deployment of flexible, firm electricity generation will be critical to meet data center power needs. Specifically, OSTP should recommend that the Administration leverage existing financing programs – such as DOE’s LPO – to help unlock private-sector investments in energy infrastructure and de-risk the long-term financial commitments necessary to ensure America’s global competitiveness and maintain American energy dominance. Given the current policy ambiguity around co-located loads such as data centers adjacent to generation, LPO remains an important driver of private-sector investment to ensure grid reliability and fair costs for consumers.

Speeding up the interconnection of new generation and transmission improvements for large-load customers is also critical. In addition, OSTP can recommend that the Federal government identify and exercise its legal authority to help streamline burdensome permitting processes and expedite the approval of energy infrastructure projects being built to power data centers. The US electricity grid is the largest machine in the world. As a country, we must speed up the process by which we grow and improve this amazing resource.

Please contact me if you have any questions on the content of this response or with respect to Homer City’s continuing support of the Administration’s goal to solidify the United States’ position as a leader in AI and secure a brighter future for all Americans.

Sincerely,

William A. Wexler
Chief Executive Officer
Homer City Redevelopment LLC